Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 1 of 19 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

4(a)	**AO2 2 marks** Award 2 marks for calculating the percentage change in GDP $\frac{3\,385.09\text{bn} - 3\,150.31\text{bn}}{3\,150.31\text{bn}} \times 100$ **OR** $\frac{234.78\text{bn}}{3\,150.31\text{bn}} \times 100$ **(1)** = 7.45% **(1)** Award 2 marks if the percentage change in GDP is accurately calculated as 7.45% even if no calculations are shown Award 1 mark if the percentage change in GDP is calculated as 7.45 even if no calculations are shown No marks for formula	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 1 of 19 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse how benefits offered by the government can help to reduce poverty for a country such as India. **Indicative content**	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Benefit payments are direct payments from the government to those on very low incomes • Low-income households can use the cash transfer payments to buy essential goods and services such as food, housing and healthcare which they otherwise would not be able to afford • These payments and food rations can help to ensure that low-income families have access to food which can improve their health and well-being • Training courses can help to increase opportunity for low-income unemployed individuals to retrain to gain employment thereby helping to reduce poverty in India • Benefit payments can help to reduce financial stress for working families and significantly improve their standard of living by lifting them out of poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 1 of 19 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, evaluate the possible benefits for India of joining the RCEP trading bloc. **Indicative content**	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • A trading bloc is a group of countries that have agreed to reduce or eliminate trade barriers between each other • Joining the RCEP bloc may create a larger and more diverse consumer market for Indian goods and services • This can create new export opportunities and boost economic growth especially if there is strong demand for Indian goods and services in these new markets • RCEP eliminates tariffs on most goods traded between member countries. This would make Indian exports more competitive in foreign markets • Joining RCEP would give Indian firms access to a larger market in places such as Japan and South Korea and encourage foreign investment in India • RCEP would make it easier for Indian firms to integrate into regional and global supply chains. This would help Indian firms reduce costs and improve efficiency • RCEP is expected to create many jobs. India could benefit from this job creation, especially for its young and growing population • The bloc may give India more bargaining power in international trade negotiations helping to secure better deals for its exports and imports **AO4** • However, joining a trading bloc could also lead to increased competition for Indian firms in both domestic and foreign markets • Indian firms will need to be prepared to compete with firms from the 15 member countries and this may result in Indian firms having to innovate or lower prices • The increased competition from firms in other member countries could lead to job losses in India particularly in labour-intensive industries such as agriculture and manufacturing • This is because firms may be tempted to shift their production to member countries with lower labour costs or more favourable tax regimes • Overall, there are both potential benefits and challenges associated with membership of the RCEP	**(12)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 1 of 19 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 1 of 19 · Question 4 part b · 6 marks

2024 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

3(a)	**AO1 1 mark** **A** an invisible import	**(1)**

Question Number	Answer	Mark
3(b)	**AO1 1 mark** **D** Value added tax	**(1)**

Question Number	Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a way Award 1 mark for developing the way Award 1 mark for the response being in context • Through progressive taxation **(1)**, higher income earners pay a larger proportion of their income in tax **(1)**. The government can redistribute this to lower income earners in the country reducing inequality and poverty **(1)** • Through government investment in education **(1)**, human capital can be improved **(1).** This may result in a person being able to get a job in the future reducing inequality and poverty **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 2 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 2 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • The level of consumer confidence will be an important factor that determines the willingness of consumers to spend, borrow and save • Inflation reduces purchasing power for consumers • High rates of inflation such as 25% in Argentina will result in consumers experiencing a fall in living standards as they cannot afford to purchase the same amount of goods and services • High rates of inflation make it difficult for consumers to know what they can afford or how much they need for purchases such as cars • High rates of inflation may discourage consumers from saving as they expect the value to decrease • Consumers are more likely to demand higher wages to keep up with inflation	**(6)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 2 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 3 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 2 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 4 of 6 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Unemployment occurs when people of working age who are both willing and able to work cannot find a job • High levels of unemployment such as 27.7% will result in lower GDP as a large part of the workforce will be unproductive • There will be a much greater burden on the government to provide benefits to the unemployed • At the same time tax revenues will be lower meaning less is available to spend elsewhere • The government may have to provide more education and training schemes, especially for young people as 60.3% of young people have never had a job • There may be an increase in poverty within the country as unemployed workers have no income apart from benefits from the South African government **AO4** • However, high rates of unemployment may help some firms compete • Some firms within South Africa may find it easier to recruit from a larger pool of workers due to the 27.7% unemployment rate • Some firms may see a reduction in labour costs if there are high levels of unemployment due to fewer wage demands • The overall impact will depend upon the type of unemployment, the duration and the state of the economy in South Africa	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 2 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 5 of 6 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 2 of 19 · Question 3 part c · 3 marks

2019 JUN · Paper 02 (regional R) · extract 6 of 6 · find part c in this mark scheme extract

Question Number	Answer	Mark

4(a)	**AO2 2 marks** Award 1 mark for showing the calculation Award 1 mark for the correct answer 202 600 million / 92.7 million **(1)** = $2 185.54 **(1)** Award 2 marks if the GDP per capita is accurately calculated with no workings shown Do not award marks for formula	**(2)**

Question Number	Indicative content	Mark
4(b)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • A fall in unemployment may result in workers gaining an income from their employment. This may increase consumer spending within the Vietnamese economy • An increase in total demand may therefore result in more demand than the economy can supply • This might result in demand pull inflation as costs and prices rise • A fall in unemployment may also result in there being fewer workers available in the Vietnamese economy • This could result in higher costs of production for firms as they must increase wages to attract workers • Higher costs of production may cause cost push inflation for the Vietnamese economy	**(6)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 3 of 19 · Question 4 part c · 12 marks

2019 JUN · Paper 02 · extract 2 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 3 of 19 · Question 4 part c · 12 marks

2019 JUN · Paper 02 · extract 3 of 5 · find part c in this mark scheme extract

Question Number	Indicative content	Mark
4(c)	**AO2 (4 marks)/AO3 (4 marks)/AO4 (4 marks)** **AO2 and AO3** • There can be a reduction in inequality by taking lower average levels of tax from low wage earners and taking more from higher earners • Increasing progressive taxes will take more income from those on high-income levels • If the Vietnamese government taxed the 210 super-rich at a higher rate of taxation, the government would have more revenue • This could be spent on public services such as education which could help to reduce inequality and poverty • If low income work has a lower rate of tax, it encourages people to enter the labour force thereby reducing poverty **AO4** • Increasing the levels of progressive taxation can be difficult and unpopular • Higher rates of progressive taxation may create a disincentive effect on higher earners • Similarly, higher corporation tax may discourage investment in Vietnam which may have a negative impact on the economy • However, it also depends at what level income tax is set as to its effectiveness • There are alternatives to increasing progressive taxation which may be more effective such as redistribution through benefits payments or investment in education and healthcare • A combination of measures may be best in reducing levels of poverty and inequality in Vietnam	**(12)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 3 of 19 · Question 4 part c · 12 marks

2019 JUN · Paper 02 · extract 4 of 5 · find part c in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–4	• Demonstrates isolated elements of relevant knowledge and understanding; may lack development of relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Chain of reasoning may be attempted. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness. A judgement or conclusion is unlikely to be attempted (AO4).
Level 2	5–8	• Demonstrates partial selectivity and some accurate knowledge and understanding by developing some relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Chain of reasoning will be present but may be limited. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness. A judgement or conclusion is attempted, but may not be fully supported (AO4).
Level 3	9–12	• Demonstrates specific and accurate knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Chain of reasoning will be coherent and logical. Interpretation of economic information will be excellent with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness. A supported judgement or conclusion is present (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 3 of 19 · Question 4 part c · 12 marks

2019 JUN · Paper 02 · extract 5 of 5 · find part c in this mark scheme extract

Pearson Education Limited. Registered company number 872828
with its registered office at 80 Strand, London, WC2R 0RL, United Kingdom

2(a)	**AO2 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** **D** Indirect taxes	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct method. • taxation • subsidy • regulation • fines • pollution permits • government provision of parks Accept any other appropriate responses.	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 4 of 19 · Question 2 part a · 1 mark

2020 JAN · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to standard of living and 1 mark for reference to typical standards in society The standard of living is below **(1)** the typical living standards in that society **(1)**. **OR** In the EU it is 60% **(1)** of the median income **(1)** Accept any other appropriate responses.	**(2)**

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage using a fine Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that this can raise a large amount of revenue **(1)**. The parking fines have raised £10.4m which could be used to improve public services **(1)** This can lead to increased economic growth in the Manchester area **(1)**. • One advantage is that it stops motorists parking illegally **(1)**. Having to pay a fine of £30 reduces the income of motorists **(1)**. This means that there might be an increase in the number of people using public transport rather than cars **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 4 of 19 · Question 2 part a · 1 mark

2020 JAN · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the possible reason Award 1 mark for the response being in context • One reason is that not all income from earnings is declared/the hidden economy **(1)**. Some people under declare their earning from jobs such as taxi driving **(1)**. This reduces the amount of Greece's GDP which is accurately recorded **(1)**. • One reason is some countries record GDP differently **(1)**. Some activities such as subsistence farming in Greece may not be included in GDP figures **(1)**. Therefore, Greece's GDP figures may not be an accurate record of the total economic activity in an economy **(1)**. Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 4 of 19 · Question 2 part a · 1 mark

2020 JAN · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Indicative content
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Seasonal workers are employed at particular times of the year when demand for labour is higher than usual • Seasonal employment is often associated with industries such as agriculture, tourism and construction • The New Zealand Government could use supply-side policies to try and encourage the recruitment of more seasonal workers into the kiwifruit industry • This can be done by offering financial incentives to firms for training and hiring the long term unemployed in the area to work on the kiwifruit farms • The New Zealand Government could ensure that there are lower income tax rates to encourage working rather than relying on welfare benefits • The New Zealand Government may offer financial incentives for the kiwifruit growers to invest in more capital intensive farming methods which remove the need for labour **AO4** • However, supply-side policies can take a very long time to be effective • Training and the hiring of new workers may take a long time and the industry needs 1,200 workers immediately to pick the remaining 70% of the crop • Many workers may prefer to remain unemployed due to the seasonal nature of the industry, preferring more stable employment • There is a financial cost to the government of offering any incentives to the kiwifruit industry which could be spent on other areas of the economy • It could be argued that the shortage of workers should be resolved by the kiwifruit industry rather than the government and the shortage could be due to poor wages or working conditions

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 4 of 19 · Question 2 part a · 1 mark

2020 JAN · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 4 of 19 · Question 2 part a · 1 mark

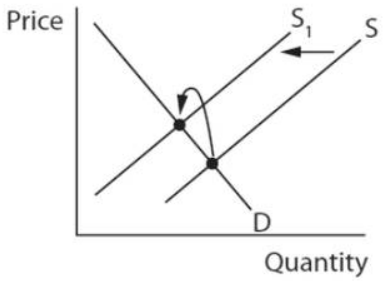
2020 JAN · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 5 of 19 · Question 2 part g · 9 marks

2020 NOV · Paper 02 · extract 1 of 5 · find part g in this mark scheme extract

2(a)	**AO2 1 mark** **C**  	**(1)**

Question Number	Answer	Mark
2(b)	**AO1 1 mark** **A** Deregulation	**(1)**

Question Number	Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct disadvantage • Foreign competition • Increasing unemployment Accept any other appropriate responses	**(1)**

Question Number	Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to price of a currency and 1 mark for reference to another currency The price of one currency **(1)** in terms of another currency **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 5 of 19 · Question 2 part g · 9 marks

2020 NOV · Paper 02 · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for German exports **(1)** if consumers overseas are responsive to the cheaper export prices **(1)**. This has a positive impact on the current account of Germany if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Germany **(1)** as it is now relatively more expensive to import goods due to the fall in the euro **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Question Number	Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible way Award 1 mark for developing the possible way Award 1 mark for the response being in context • One way is that privatisation introduces competition into the airport market **(1)**. It creates incentives to lower unit costs **(1)** to increase productivity and profit **(1)** • One way is that privatisation may improve the quality of the factors of production of airports **(1)**. This means that an airport can produce more services **(1)** without increasing inputs **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 5 of 19 · Question 2 part g · 9 marks

2020 NOV · Paper 02 · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as unemployment benefit, state pension and in this case, child benefit • The advantages are that benefit payments help to reduce inequality and reduce relative poverty as the money is given directly to people on no or low-incomes • Benefit payments will give those on low income a better living standard and help contribute to a more cohesive society • Canada estimates that 300,000 children have been lifted out of poverty due to the child benefit payments • This could be due to more working mothers being able to return to work and therefore being able to contribute to society **AO4** • However, increasing welfare benefits creates a disincentive to work • Many families may face the poverty trap and are often better off on benefits than working • The cost of the benefits has to be borne by society so there is often an opportunity cost to a country from using benefit payment to redistribute income • Not all people are entitled to receive the child benefit which could result in resentment • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The Canadian Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 5 of 19 · Question 2 part g · 9 marks

2020 NOV · Paper 02 · extract 4 of 5 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 5 of 19 · Question 2 part g · 9 marks

2020 NOV · Paper 02 · extract 5 of 5 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 6 of 19 · Question 3 part b · 1 mark

2020 NOV · Paper 02 · extract 1 of 5 · find part b in this mark scheme extract

3(a)	**AO1 1 mark** **B** Increased inflation	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** **B** Progressive	**(1)**

Question Number	**Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is the MNCs may create jobs **(1)**.The palm plantations require many workers to harvest the palm oil **(1)**. This can reduce the amount of unemployment in Indonesia **(1)** • One advantage is the contribution to government revenue **(1)**. Foreign MNCs might be required to pay taxes to the Indonesian Government **(1)**. This can be used to fund public services within Indonesia **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 6 of 19 · Question 3 part b · 1 mark

2020 NOV · Paper 02 · extract 2 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Recession is when GDP falls for two consecutive quarters • During a recession there is a decline in consumption and investment • There is often a loss of confidence which makes consumers buy fewer goods and services • Lower consumption of goods and services results in some firms requiring fewer workers • Manufacturers may cut back on recruitment and/or the number of employees in reaction to falling orders • Overall, the unemployment rate rises in a recession	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–2**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	**3–4**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	**5–6**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 6 of 19 · Question 3 part b · 1 mark

2020 NOV · Paper 02 · extract 3 of 5 · find part b in this mark scheme extract

Question Number	Indicative content	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Monetary policy is the use of interest rates and money supply to affect the level of economic activity • Expansionary monetary policy aims to boost economic growth by lowering interest rates • China has lowered interest rates to 4.35% in 2018/2019 from a high of 6% in 2014 • This makes borrowing more attractive to firms and households as a lower rate of interest is charged on loans • Firms and consumers with existing loans and mortgages will also see a drop in interest payments and therefore will have more disposable income to spend • This may increase the demand for goods and services within the Chinese economy, thus increasing economic growth **AO4** • However, not all economic growth is dependent upon interest rates • Other factors such as business and consumer confidence play a huge role in the demand for goods and services • Often there is a time lag for a reduction in interest rates to feed through into the economy in terms of increased demand • Lower interest rates may increase demand for goods and services but can result in inflationary pressures if supply is not able to keep up with demand • The effectiveness may depend upon a range of factors within the Chinese economy	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 6 of 19 · Question 3 part b · 1 mark

2020 NOV · Paper 02 · extract 4 of 5 · find part b in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	**1–3**	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	**4–6**	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	**7–9**	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 6 of 19 · Question 3 part b · 1 mark

2020 NOV · Paper 02 · extract 5 of 5 · find part b in this mark scheme extract

Question Number	Answer	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 1 of 6 · find part d in this mark scheme extract

3(a)	**AO2 1 mark** The only correct answer is: **C** £218.2bn A is not correct because this is calculated by Sales tax (VAT) + Income tax B is not correct because this figure is calculated by Income tax + Tariffs D is not correct because this is calculated by Tariffs + Business tax	**(1)**

Question Number	Member countries of a trading bloc agree to Answer	Mark
3(b)	**AO1 1 mark** The only correct answer is: **A** trade together with low or no barriers B is not correct because countries in a trading bloc can have different rates of income tax C is not correct because members can trade with any country outside of the trading bloc D is not correct because member countries do not always have common borders	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

Question Number	Explain **one** advantage of using quotas for a country such as Brazil. Answer	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying an advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is domestic producers face less competition **(1)**. By only allowing 600 million litres of ethanol into Brazil **(1)** domestic producers may gain more market share **(1)** • One advantage is higher revenue for domestic producers **(1)**. By restricting the amount of ethanol being imported into Brazil to 600 million litres **(1)** domestic producers might be able to increase sales **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse why the Slovenian Government might want to increase investment in healthcare. Indicative content
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing €3.05bn in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in Slovenian • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in Slovenia • Healthcare also provides many jobs for healthcare workers including nurses and doctors which helps to reduce unemployment

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the likely benefits of economic growth for a country such as Turkmenistan. Indicative content
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Economic growth is the increase in the level of output by a nation and is one of the main macroeconomic objectives • Turkmenistan has seen a 6.2% GDP growth rate which could result in an increase in employment levels in the oil and natural gas extraction industries • This is due to firms requiring more workers for production as the economy grows • Figure 4 shows an increase over time of GDP per capita which indicates that people have more income in Turkmenistan • Consumers might be able to purchase more goods and services thereby improving standards of living • Rapid economic growth could also help to reduce poverty in Turkmenistan particularly as over 50% of the labour force work in agriculture **AO4** • However, not all economic growth is good for an economy • If economic growth is too fast, the Turkmenistan economy may overheat • This could result in demand pull and cost push inflation • Economic growth could also result in more negative externalities such as pollution and waste • Turkmenistan relies heavily on the extraction of finite resources such as oil and gas which may cause a long-run depletion of natural resources • Rapid increases in GDP can lead to a higher level of inequality as the gains from growth may go to only a few people

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 7 of 19 · Question 3 part d · 6 marks

2021 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	Calculate how much **interest, in Yuan (¥)**, Zhang Li received in one year. You are advised to show your working. Answer	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 1 of 6 · find part g in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **B** Higher exports A is not correct because this is likely to increase inflation C is not correct because this is likely to create employment D is not correct because this is decided by the government	**(1)**

Question Number	**Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **C** Relative poverty A is not correct because this is not having the means to survive B is not correct because this describes the range of incomes in an economy D is not correct because this refers to the disincentive effect of benefit payments	**(1)**

Question Number	**Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** correct effect • Lower demand for imports • Improved balance of payments • Higher demand for exports • Reduced deficit • Improved surplus Accept any other appropriate responses	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 2 of 6 · find part g in this mark scheme extract

Question Number	**Answer**	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to the components of fiscal policy and 1 mark for reference to (aggregate) demand Decisions about government spending, taxation and borrowing **(1)** that affect (aggregate) demand in the economy **(1)** Accept any other appropriate response	**(2)**

Question Number	**Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that business confidence is likely to fall **(1)**. High rates of unemployment of 44% may make businesses more cautious **(1)**. This is because there will be fewer people able to purchase goods/services from firms **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 3 of 6 · find part g in this mark scheme extract

Question Number	**Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for identifying a possible reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that more goods are able to be transported at the same time **(1)**. This reduces the cost of trading between countries **(1)**. This means increased trade which leads to globalisation **(1)** • One reason is that goods can be cheaply transported long distances **(1)** resulting in more firms being able to source products from low-cost countries **(1)**. This increased trade between countries leads to more globalisation **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 4 of 6 · find part g in this mark scheme extract

Question Number	**Indicative content**
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The external benefit of providing healthcare to an individual often exceeds the private benefit • Free access to healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in England • This can help to reduce inequality and poverty by enabling the population to work and gain income from being fit and healthy • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to reduce poverty and inequality in England • Healthcare also provides many jobs for healthcare workers including nurses, doctors and by building new hospitals **AO4** • However, providing free healthcare cost the tax payer £134bn in 2020 • There is an opportunity cost of spending so much money on healthcare which could be spent on other poverty reduction methods • Having a healthcare system which is free means that there is often an excess demand for healthcare, leading to the NHS being constantly overstretched • This results in shortages of hospital beds and may not reduce poverty and inequality • There are other methods that might be more effective in reducing poverty and inequality, such as education or progressive taxation • There should be a combination of methods used to reduce poverty and inequality in England

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 5 of 6 · find part g in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 8 of 19 · Question 2 part g · 9 marks

2021 NOV · Paper 02 · extract 6 of 6 · find part g in this mark scheme extract

Question Number	**Answer**	Mark

Number		
1(a)	**AO2 1 mark** The only correct answer is: **D** An airline cuts jobs during a global recession A is not correct because it is structural unemployment B is not correct because it is seasonal unemployment C is not correct because it is frictional unemployment	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **B** devaluation A is not correct because this is caused by market forces C is not correct because this is an increase in the exchange rate D is not correct because this is an increase in the exchange rate caused by market forces	**(1)**

Question Number	What is meant by the term exports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being to another country The sale of goods or services **(1)** to another country **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 9 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 5 · find part d in this mark scheme extract

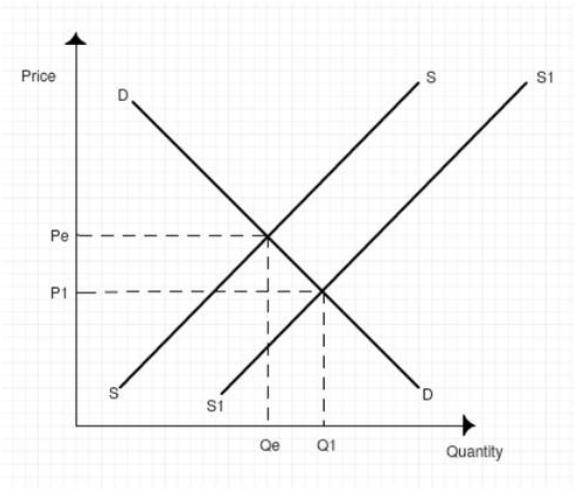
Question Number	Describe one impact that education may have on inequality and poverty. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference reducing inequality and poverty and 1 mark for reference to skills Education helps to reduce inequality and poverty **(1)** by providing skills needed to get a job **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate how much inflation there has been between 2015 and 2019. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation 110.2 - 100 **(1)** Award 1 mark for the correct answer = 10.2% **(1)** Award 2 marks if the correct answer 10.2% is shown, with percentage sign, even if no calculations are shown Award 1 mark if the answer given is 10.2, but with no percentage sign, with or without calculations shown Do not award marks for the formula.	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 9 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 5 · find part d in this mark scheme extract

Question Number	Draw the effects of the introduction of a subsidy on the equilibrium price and quantity of renewable energy. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Question Number	Explain the likely impact of a decrease in the UK interest rates on the UK pound. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that the currency will depreciate **(1).** It will become less attractive to deposit money in the UK **(1).** Therefore, demand for the UK pound (£) will fall **(1)** Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 9 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 5 · find part d in this mark scheme extract

Question Number	Analyse the disadvantages of free trade for domestic businesses located within this free trade area. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Free trade is a situation in which goods and services coming into or going out of a country/trade area are not controlled or taxed • Free trade means that domestic businesses are no longer protected • Domestic businesses will face greater competition from firms within the free trade area • Businesses may see increased competition from cheaper, low-cost firms within the free trade area who may have lower wage costs compared to domestic businesses • This could result in falling sales for businesses in the EU that will tend to have higher labour costs compared to Vietnam	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 9 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 5 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 1 of 7 · find part e in this mark scheme extract

3(a)	**AO1 1 mark** The only correct answer is: **C** The costs of searching for cheaper suppliers when inflation is high A is not correct because these are variable costs B is not correct because these are input costs D is not correct because these are menu costs	**(1)**

Question Number	**Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** Higher quality of domestic goods A is not correct because this would increase imports and reduce a surplus B is not correct because this would reduce the demand for exports and reduce a surplus C is not correct because it is would make imports cheaper and reduce a surplus	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Explain one possible reason why the Kazakhstan Government introduced quotas on imports of wheat and flour. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to protect domestic firms **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers may gain more market share **(1)** • One reason is higher revenue for domestic producers **(1).** By only allowing 200,000 tonnes and 70,000 tonnes of wheat and flour into the country **(1)** domestic producers might be able to increase supply to meet any shortages **(1)** Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Analyse the impact of deflation on consumer confidence in a country such as Singapore. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Deflation is a persistent fall in the general price level of goods and services/ when the inflation rate is negative • Consumer confidence is the outlook that consumers have towards the economy • In the case of Singapore, the prices of airfares and holidays have declined due to the government lockdown as people cannot travel and demand has fallen sharply • Changes in prices of goods and services often cause uncertainty and may influence the confidence of consumers • Changes in prices might make consumers more anxious and cautious • This results in a fall in consumer confidence as consumers worry about the state of the economy • In times of deflation consumers will postpone spending particularly on consumer durables such as holidays and cars • This is because consumers expect prices to fall even further or wait until the economy improves before buying goods	**(6)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 4 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 5 of 7 · find part e in this mark scheme extract

Question Number	Assess the advantages of using benefit payments to redistribute income in a country such as the UK. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Benefit payments are payments given to people to ensure they have a minimum standard of living • These include benefits such as Universal Credit • Universal Credit involves giving money directly to people on no or low incomes • For example, people aged 25 and under can receive £342.72 and this can be used to pay for living costs • This will give those on low incomes a better living standard and the ability to be able to purchase basic necessities • Benefits can help to contribute to a more cohesive society and reduce inequality within a society by redistributing income • Benefit payments can help to reduce relative poverty in the UK **AO4** • However, using benefit payments may create a disincentive to work • Many families may face the poverty trap and are often better off on benefit payments than working • The cost of the benefit payments has to be borne by society so there is often an opportunity cost to a country from using benefit payments to redistribute income • There are other methods which might be more effective in redistributing income, such as progressive taxation or investment in education • The UK Government should use a combination of methods to reduce inequality and poverty	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 10 of 19 · Question 3 part e · 9 marks

2022 JUN · Paper 02 (regional R) · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Calculate, to two decimal places, the percentage increase in GDP per capita between 2018 and 2019. **Answer**	Mark

Number		
1(a)	**AO1 1 marks** The only correct answer is: **D** operates in more than one country A is not correct because shareholders may just be from one country B is not correct because MNCs may not necessarily export goods C is not correct because MNCs are owned by private investors and this would be a nationalised company	**(1)**

Question Number	**Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Interest rate B is not correct because this would reduce disposable income meaning less saving C is not correct because this would make imports cheaper and encourage spending D is not correct because this would increase the price of goods meaning less saving	**(1)**

Question Number	What is meant by the term imports? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response.	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 11 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 · extract 2 of 6 · find part d in this mark scheme extract

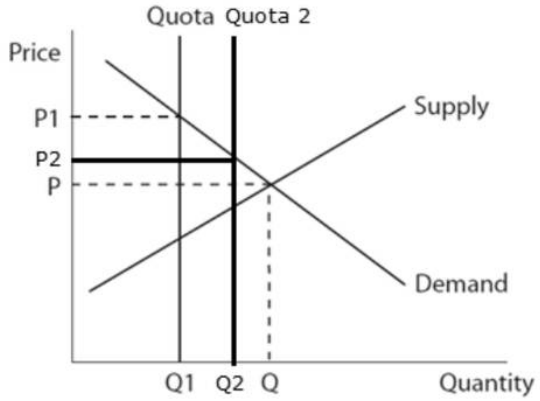
Question Number	Describe one reason why governments make benefits payments. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to reducing poverty and 1 mark for reference to helping to meet basic needs Reduce poverty/inequality in a country **(1)** by making benefit payments to assist with meeting basic needs **(1)** Accept any other appropriate response.	**(2)**

Question Number	Using the data in Figure 1, calculate in £bn, the current account for the UK year ending July 2019. You are advised to show your working. **Answer**	Mark
1(e)	**A02 2 marks** Award 1 mark for showing the calculation £646.7bn - £689.9bn **(1)** Award 1 mark for the correct answer = -£43.2bn **(1)** Award 2 marks if the correct answer of -£43.2bn is shown, with pound (£) symbol, even if no calculations are shown Award 1 mark if -43.2bn is shown, but with no £ sign, with or without calculations shown Do not award marks for formula	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 11 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 · extract 3 of 6 · find part d in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a new quota on the equilibrium price and quantity of haddock. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of perfectly inelastic supply curve, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  **Figure 2**	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 11 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 · extract 4 of 6 · find part d in this mark scheme extract

Question Number	Explain one possible reason why a country such as Norway has a current account surplus. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is because of high quality domestic goods **(1)**. High quality goods may increase the demand for exports **(1)** resulting in more money flowing into the country than flowing out **(1)** • One reason is because of the lower price of domestic goods **(1).** Lower prices for domestic goods may result in less demand for imported goods **(1)** resulting in less money flowing out of the country **(1)** Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 11 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 · extract 5 of 6 · find part d in this mark scheme extract

Question Number	Analyse how a reduction in indirect taxation is likely to affect the standard of living in a country such as the UK. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Indirect taxes are government charges imposed on goods and services • Lowering indirect taxes such as VAT will result in consumers paying less for goods and services • This allows consumers and firms to make more purchases as prices are cheaper • Increased spending could be spent on more/better quality goods and services, thereby increasing the standard of living in the UK for consumers • With increased spending within the UK economy, output and employment may increase for firms, further increasing the standard of living	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 11 of 19 · Question 1 part d · 2 marks

2022 JUN · Paper 02 · extract 6 of 6 · find part d in this mark scheme extract

Question Number	**Answer**	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 1 of 6 · find part b in this mark scheme extract

1(a)	**AO1 1 marks** The only correct answer is: **B** Unemployment A is not correct because this is measured by a % change in GDP C is not correct because this is decided by the government D is not correct because this is measured by the CPI	**(1)**

Question Number	Which **one** of the following is considered to be a progressive tax in the UK? **Answer**	Mark
1(b)	**AO1 1 mark** The only correct answer is: **A** Income tax B is not correct because this is an indirect tax/regressive tax C is not correct because these are taxes on individual items D is not correct because a set percentage is paid	**(1)**

Question Number	What is meant by the term deregulation? **Answer**	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to removal and 1 mark for reference to government controls The removal **(1)** of government controls **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 2 of 6 · find part b in this mark scheme extract

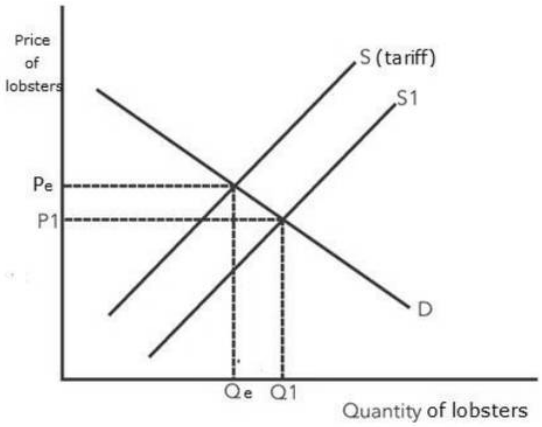
Question Number	Describe **one** negative impact of economic growth. **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to environmental damage and 1 mark for reference to economic activity Environmental damage **(1)** caused by factories making more goods/services **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate the **price in euros (€)** of a UK manufactured car priced at £15 000 when the exchange rate is £1 = €1.10. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation £15 000 x €1.10 **(1)** Award 1 mark for the correct answer = €16 500 **(1)** Award 2 marks if the correct answer €16 500 is shown, with € sign, even if no calculations are shown Award 1 mark if correct answer 16 500 is shown, but with no € sign, with or without calculations Do not award marks for the formula	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 3 of 6 · find part b in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the decrease in the tariff on the equilibrium price and quantity of US lobster imports into the EU. Label the new curve, the new equilibrium price and new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 4 of 6 · find part b in this mark scheme extract

Question Number	Explain the impact of wages rising faster than inflation on a country such as Mexico. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • The impact is that wages can buy more goods/services **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1).** This could result in increased pressure on the rate of inflation **(1)** • The impact is that firms could see fewer wage demands **(1)**. This is because wages are rising at a faster rate than prices in Mexico **(1)**. Employees would be less likely to require higher wages to maintain standards of living **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 5 of 6 · find part b in this mark scheme extract

Question Number	Analyse the impact of education and training on the productive potential of a country such as Vietnam. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Education and training are examples of supply-side policies designed to improve the productive potential of an economy • Investment in education and training in IT can help unemployed workers to acquire new skills so they can gain employment • Many unemployed workers lack the necessary skills needed to get a job, especially older workers who may need retraining to gain digital skills • Offering training courses in IT could help to reduce structural unemployment within Vietnam • A better educated and trained workforce could enable Vietnam to produce more goods and services using IT skills thus increasing the productive potential of the country	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 12 of 19 · Question 1 part b · 1 mark

2023 JAN · Paper 02 (regional R) · extract 6 of 6 · find part b in this mark scheme extract

Question Number	Which type of unemployment would result from the permanent closure of a coal mine? **Answer**	Mark

3(a)	**AO1 1 mark** The only correct answer is: **C** The construction of a factory in India by a Chinese firm A is not correct because this is an example of exporting goods B is not correct because this an example of domestic investment D is not correct because this an example of domestic growth/expansion	**(1)**

Question Number	If the exchange rate changes from £1 = $1.40 to £1 = $1.30 then **Answer**	Mark
3(b)	**AO1 1 mark** The only correct answer is: **D** UK exports to the US will be cheaper A is not correct because the UK pound has depreciated not appreciated B is not correct because US holidays will become more expensive C is not correct because US exports will become more expensive	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 2 of 7 · find part d in this mark scheme extract

Question Number	Explain **one** reason why an improvement in the quality of domestic goods may have resulted in a positive impact on Pakistan's current account. **Answer**	Mark
3(c)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is that there may be increased demand for Pakistani exports **(1)** if consumers overseas prefer to buy better quality goods made in Pakistan **(1)**. This may have a positive impact on the current account of Pakistan if there is an overall increase in net exports **(1)** • One reason is that this may reduce the quantity of imports into Pakistan **(1)** as it is more advantageous to purchase better quality domestically produced goods rather than import from other countries **(1)**. This could result in a decrease in net imports **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 3 of 7 · find part d in this mark scheme extract

Question Number	Analyse the benefits of investing in healthcare for a country such as China. **Indicative content**	Mark
3(d)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Healthcare provides medicines and medical treatments to increase the overall health of the nation • The social benefit of providing healthcare to an individual often exceeds the private benefit through immunisation programmes • Investing in healthcare means that illnesses can be treated quickly therefore improving life expectancy across all age groups in China • Low income households would not be able afford healthcare if the government did not pay for most (90%) of the cost - hence some may lose income from not being able to work • Having a healthier workforce reduces the amount of sickness absence and potentially improves labour productivity • This could result in economic growth and therefore help to improve standards of living in China • Healthcare also provides many jobs for healthcare workers including nurses and doctors	**(6)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 4 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 5 of 7 · find part d in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the drawbacks for the UK of having MNCs located within the country. **Indicative content**	Mark
3(e)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • MNCs are companies that operate in many different countries • By their very nature MNCs are therefore able to easily move profits made in one country to another country that may have lower business taxes than the UK • This helps the MNC to avoid paying taxes to the UK Government • This has been estimated to be £34.8bn in 2019-2020 in the UK and has been increasing over time • This £34.8bn could have been spent by the UK Government on public services such as education and healthcare • MNCs often cause environmental damage from their operations **AO4** • However, MNCs do bring many advantages as well as disadvantages to the host country • Not all MNCs move profits abroad and do contribute to taxes from their operations within the UK • MNCs create much needed jobs when building factories and production facilities in the UK • Local businesses may benefit from supplying the MNC with raw materials or labour • It does depend on the individual MNC as to whether the advantages outweigh the disadvantages from poor corporate behaviour within the UK	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 6 of 7 · find part d in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 13 of 19 · Question 3 part d · 6 marks

2023 JAN · Paper 02 (regional R) · extract 7 of 7 · find part d in this mark scheme extract

Question Number	Calculate, to two decimal places, the **percentage change in GDP per capita** in Egypt between 2019 and 2020. You are advised to show your working. **Answer**	Mark

Number	Answer	
1(a)	**AO1 1 mark** The only correct answer is: **D** reprinting brochures when prices change A is not correct because these are shoe leather costs B is not correct because these are labour costs C is not correct because these are fixed costs	**(1)**

Question Number	Which one of the following is likely to cause demand pull inflation? Answer	Mark
1(b)	**AO1 1 mark** The only correct answer is: **C** An increase in the consumption of goods A is not correct because this is likely to result in cost push inflation B is not correct because this is likely to result in lower inflationary pressures D is not correct because this is likely to result in less consumer spending in the economy	**(1)**

Question Number	What is meant by the term imports? Answer	Mark
1(c)	**AO1 2 marks** Award 1 mark for reference to purchase of goods and 1 mark for reference to being from another country The purchase of goods or services **(1)** from another country **(1)** Accept any other appropriate response	**(2)**

4

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 14 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 (regional R) · extract 2 of 5 · find part g in this mark scheme extract

Question Number	Describe the impact on the demand for a currency after an increase in interest rates. Answer	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference an increase in demand and 1 mark for reference to investing savings/ rise in exchange rate There is likely to be an increase in demand for the currency **(1)** because foreign savers choose to put their savings in the bank with the higher rate of interest **(1)** Accept any other appropriate response	**(2)**

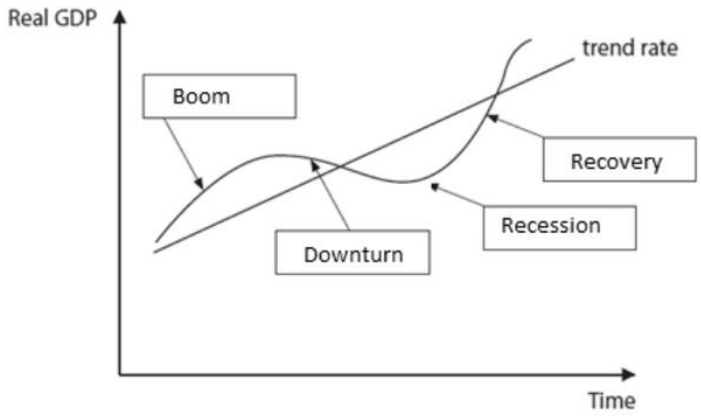
Question Number	Using the data in Figure 1, calculate in CAD$bn, the current account for Canada for the year ending 2020. Answer	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation CAD$524bn - CAD$561bn **(1)** Award 1 mark for the correct answer = -CAD$37bn **(1)** Award 2 marks if the correct answer of -CAD$37bn is shown even if no calculations are shown Award 1 mark if -37bn is shown, but with no CAD$ sign, with or without calculations shown Do not award marks for formula	**(2)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 14 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 (regional R) · extract 3 of 5 · find part g in this mark scheme extract

Question Number	Label the boxes in the diagram below with the three remaining stages of the economic cycle. Answer	Mark
1(f)	**AO2 3 marks** Award 1 mark for downturn, labelled correctly Award 1 mark for recession, labelled correctly Award 1 mark for recovery, labelled correctly  	**(3)**

Question Number	Explain **one** reason why the Scottish Government gives benefit payments. Answer	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant reason Award 1 mark for developing the reason Award 1 mark for the response being in context • One reason is to reduce inequality and poverty **(1).** Benefit payments help to assist with meeting basic needs such as heating a home **(1)**. Therefore, more people will be able to have a better standard of living **(1)** Accept any other appropriate response	**(3)**

Match each answer number to the type practice PDF. Original exam material © Pearson Education Ltd.

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 14 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 (regional R) · extract 4 of 5 · find part g in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, analyse the limitations of using GDP as a measure of economic growth for a country such as Singapore. Indicative content	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • GDP is the market value of all final goods and services produced in a year • Increases in inflation could distort the true rate of economic growth in Singapore and only real GDP figures reflect the true rate of economic growth in an economy • GDP does not include figures for the hidden or informal economy as they are not included in GDP figures • GDP does not take into account population changes in Singapore • GDP does not take into account external costs such as environmental costs • As a result GDP does not measure how environmental costs might impact on the wellbeing of society • GDP figures such as 7.2% do not reflect how additional income is distributed between the population of Singapore • The growth may not be evenly distributed amongst the population of Singapore who still may remain in relative poverty	**(6)**

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

7

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 14 of 19 · Question 1 part g · 3 marks

2023 JUN · Paper 02 (regional R) · extract 5 of 5 · find part g in this mark scheme extract

Question Number	When a central bank buys government bonds from commercial banks it is known as Answer	Mark

2(a)	**AO1 1 mark** The only correct answer is: **D** Tax rates A is not correct because this is affected by changes in the supply and demand for currencies B is not correct because this is part of monetary policy C is not correct because this is dependent on the output of firms	**(1)**

Question Number	A savings account has €5 000 in it at the start of the year. If the interest rate is 2%, what is the total amount in the account at the end of the year? Answer	Mark
2(b)	**AO2 1 mark** The only correct answer is: **D** €5 100 A is not correct because this is the interest only B is not correct because this is calculated by €5 000/2 C is not correct because this is calculated by €5 000 - €100	**(1)**

Question Number	State **one** role of a central bank. Answer	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** function. • setting interest rates • controlling inflation • stabilising a nation's currency • lender of last resort • implementing the government's monetary policy • regulating the banking system Accept any other appropriate responses.	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 15 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

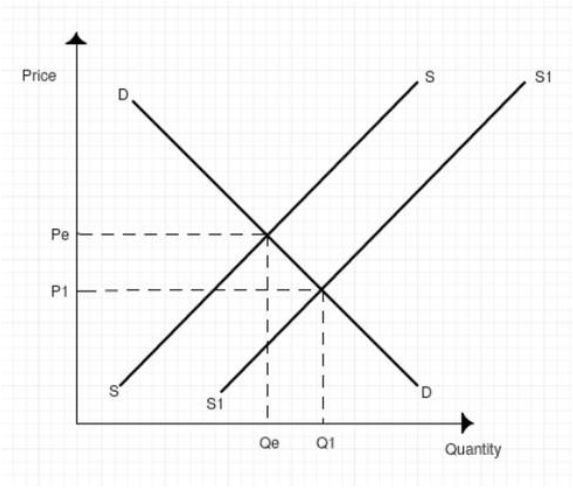
Question Number	What is meant by the term current account surplus? Answer	Mark
2(d)	**AO1 2 marks** Award 1 mark for reference to value of exports and 1 mark for reference to exceeding value of imports When the value of exports **(1)** exceeds the value of imports **(1)** Accept any other appropriate response.	**(2)**

Question Number	Explain **one** impact education and training may have on inequality and poverty. Answer	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant impact Award 1 mark for developing the impact Award 1 mark for the response being in context • One impact is that it can reduce inequality and poverty **(1).** Training and education can provide new skills for young people **(1)**. Therefore, they are more likely to be able to gain employment/income **(1)** Accept any other appropriate response.	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 15 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of a subsidy on the equilibrium price and quantity of electric vehicles. Label the new curve, the new equilibrium price and new equilibrium quantity. Answer	Mark
2(f)	**AO2 3 marks** Award 1 mark for rightward shift of supply, labelled Award 1 mark for lower equilibrium price, labelled Award 1 mark for higher equilibrium quantity, labelled  	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 15 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the impact of infrastructure spending on the productive potential of a country such as the UK. Indicative content	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Infrastructure spending is an example of a supply-side policy • The productive potential of the UK economy may increase if the quality of its infrastructure is improved • The UK Government is investing in a wide range of projects including urban transport and the provision of broadband to hard-to-reach areas • This may help to increase geographical mobility as well as improve the distribution of goods/services • In the short term, building or upgrading transport can boost (aggregate) demand through increased construction activity and employment • In the long term, infrastructure investment can boost economic growth by attracting investment and increasing the potential supply capacity of an economy **AO4** • However, it can be argued that spending £130bn on its economic infrastructure may not be that effective in increasing the total output in the UK economy • It is unclear how the UK Government will fund this investment and it may have to borrow the additional finance and could result in a fiscal deficit • There is an opportunity cost of these investments with no guarantee that total output will increase in the long term • By nature, supply-side policies tend to take a very long time to work and infrastructure investments can be highly complex to manage • The overall impact on output will depend upon whether the planned spending can add to (aggregate) demand and (aggregate) supply	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 15 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 15 of 19 · Question 2 part e · 3 marks

2023 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	A decrease in unemployment is likely to result in Answer	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 1 of 6 · find part a in this mark scheme extract

1(a)	**AO1 1 mark** The only correct answer is: **C** The tax rate increases as income increases A is not correct because this does not describe a characteristic of progressive taxation B is not correct because this this does not describe a characteristic of progressive taxation/ is regressive D is not correct because progress taxation is not linked to GDP	**(1)**

Question Number	Which **one** of the following describes a fiscal surplus? **Answer**	Mark
1(b)	**AO1 1 marks** The only correct answer is: **D** Government revenue is greater than government expenditure A is not correct because this describes current account surplus B is not correct because this describes a current account deficit C is not correct because this describes a fiscal deficit	**(1)**

Question Number	What is meant by the term income inequality? **Answer**	Mark
1(c)	**AO1 2 marks** Award up to 2 marks for a correct definition Differences in income **(1)** between different groups of earners **(1)** **OR** The unequal/uneven distribution of income **(1)** throughout an economy/a society **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 2 of 6 · find part a in this mark scheme extract

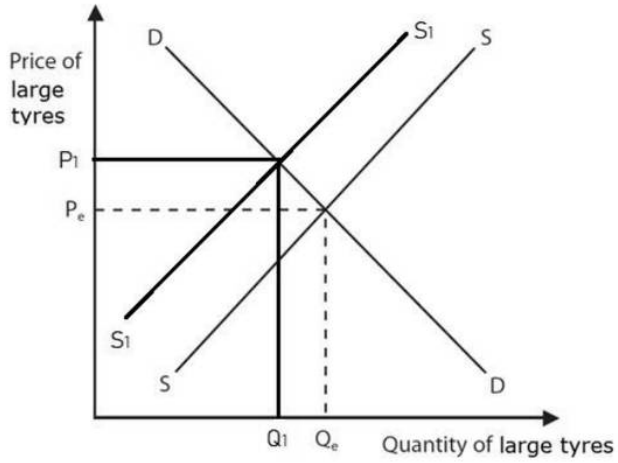
Question Number	Describe **one** role of the World Trade Organization (WTO). **Answer**	Mark
1(d)	**AO1 2 marks** Award 1 mark for reference to the role and 1 mark for development of the role It helps to settle trade disputes between countries **(1)** by acting as a mediator to find a solution **(1)** Accept any other appropriate response	**(2)**

Question Number	Calculate, to two decimal places, the **rate of unemployment**. You are advised to show your working. **Answer**	Mark
1(e)	**AO2 2 marks** Award 1 mark for showing the calculation $\frac{(34 \text{ million} - 32 \text{ million})}{34 \text{ million}} \times 100$ **(1)** **OR** $\frac{2 \text{ million}}{34 \text{ million}} \times 100$ **(1)** Award 1 mark for the correct answer = 5.88% **(1)** Award 2 marks if the correct answer is 5.88% even if no calculations are shown Award 1 mark if the answer given is 5.88 even if no calculations are shown Do not award marks for the formula	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, draw the effects of the introduction of the tariff on the equilibrium price and quantity of large tyres. Label the new curve, the new equilibrium price and the new equilibrium quantity. **Answer**	Mark
1(f)	**AO2 3 marks** Award 1 mark for a leftward shift of supply curve, labelled Award 1 mark for a higher equilibrium price, labelled Award 1 mark for a lower equilibrium quantity, labelled  	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 4 of 6 · find part a in this mark scheme extract

Question Number	Explain **one** advantage of free trade for businesses in Ecuador. **Answer**	Mark
1(g)	**AO2 3 marks** Award 1 mark for identifying a relevant advantage Award 1 mark for developing the advantage Award 1 mark for the response being in context • One advantage is that businesses can access a wider market **(1).** Trade barriers will be removed for products such as bananas **(1)** which could help to increase total sales and revenue **(1)** • One advantage is that there could be lower input costs **(1).** Trade barriers will be removed for imports from China **(1)** which could help businesses to sell goods for lower prices in the domestic market **(1)** Accept any other appropriate response	**(3)**

Question Number	With reference to the data above and your knowledge of economics, analyse the impact of high rates of inflation on consumer confidence in a country such as Germany. **Indicative content**	Mark
1(h)	**AO2 (3 marks)/AO3 (3 marks)** **AO2 and AO3** • Consumer confidence is an economic indicator that gauges consumers' perception of the economy • High rates of inflation could reduce confidence in Germany • Inflation reduces purchasing power and a rate of 10.4% will result in many consumers experiencing a reduction in living standards • This is because they cannot afford to purchase the same amount of goods and services • Consumer confidence will fall and may make them more cautious and less willing to borrow money • Savings may increase to safeguard against the future • High rates of inflation can cause uncertainty for many consumers making it difficult to plan ahead if prices are rising so much	**(6)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–2	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3).
Level 2	3–4	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3).
Level 3	5–6	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 16 of 19 · Question 1 part a · 1 mark

2023 NOV · Paper 02 · extract 6 of 6 · find part a in this mark scheme extract

Question Number	What is the main reason for a government to devalue its currency? **Answer**	Mark

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 1 of 7 · find part e in this mark scheme extract

2(a)	**AO1 1 mark** The only correct answer is: **C** Increased economic growth A is not correct because it is likely to create more job opportunities B is not correct because it will make it easier and cheaper for firms to trade internationally D is not correct because it can make it easier and cheaper for consumers to purchase goods and services	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 2 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following types of unemployment is caused by changes in the business cycle? **Answer**	Mark
2(b)	**AO1 1 marks** The only correct answer is: **D** Cyclical A is not correct because this occurs due to a mismatch between the skills and qualifications of workers and the requirements of available jobs B is not correct because this occurs due to seasonal changes in the demand for labour C is not correct because this occurs when workers are in between jobs or transitioning to a new career	**(1)**

Question Number	State **one** possible impact of a current account deficit. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Leakage from the economy • Problems finding foreign currency reserves to fund the deficit • Can be inflationary • Increasing unemployment • Falling output/GDP Accept any other appropriate response	**(1)**

Question Number	What is meant by the term fines? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition Financial penalties imposed on individuals or businesses **(1)** who break the law/disobey regulations **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

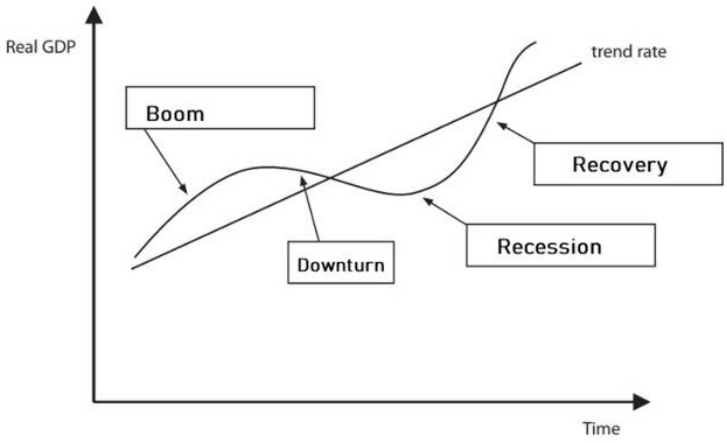
2024 JUN · Paper 02 · extract 3 of 7 · find part e in this mark scheme extract

Question Number	Explain **one** way progressive taxation can help to reduce poverty for a country such as the US. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • Those that earn more pay a higher percentage in tax **(1)** which can pay for unemployment benefits, healthcare services and education subsidies **(1)** that can provide help for those who are struggling financially **(1)** • It reduces the income gap between the wealthy and people with lower incomes **(1).** Taking more taxation as a proportion from higher income earners **(1)** reduces the burden on workers with lower incomes **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 4 of 7 · find part e in this mark scheme extract

Question Number	Using the diagram below label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recovery, labelled  	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 5 of 7 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the US of giving subsidies for green technology. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • Subsidies are payments by the government to suppliers that reduce their costs • Subsidies can be used to promote domestic green technology industries that are deemed important for economic and social objectives • The $369bn can be used to encourage the production of renewable energy in the US producing batteries, solar panels and wind turbines • Subsidies can be used to encourage exports, by making domestic goods such as solar panels, more competitive on the global market thereby reducing trade deficits • Subsidies can be used to protect domestic employment by supporting US industries that might otherwise struggle to compete with foreign rivals in China • It may help to create new factories and millions of jobs as well as in related industries, such as manufacturing and construction, if green technology firms are attracted to the US to take advantage of the subsidies **AO4** • However, subsidies may create a dependence on the US Government which can make it difficult for these projects to be self-sustaining in the long-term • Subsidies can be expensive for the US Government and may divert funds away from other important priorities • Subsidies may be allocated inefficiently and may not be targeted towards the most effective or innovative green technologies • There could be retaliation from the EU and the UK that are unhappy with these subsidies and they could offer their own subsidies to attract green technology firms away from the US • Therefore, this may make the use of subsidies an inefficient use of resources by the US Government	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 6 of 7 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 17 of 19 · Question 2 part e · 3 marks

2024 JUN · Paper 02 · extract 7 of 7 · find part e in this mark scheme extract

Question Number	Which **one** of the following is an example of Foreign Direct Investment (FDI)? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **C** increases with higher income levels A is not correct because this describes a flat tax system B is not correct because this describes a regressive tax system D is not correct because this does not happen in a progressive tax system	**(1)**

Question Number	A depreciation in a country's exchange rate is most likely to lead to **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **A** increase in exports and a decrease in imports B is not correct because a depreciation would result in an increase in exports and a decrease in imports C is not correct because a depreciation would result in an increase in exports and a decrease in imports D is not correct because a depreciation would result in an increase in exports and a decrease in imports	**(1)**

Question Number	State **one** possible trade-off with inflation. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible trade-off • Higher unemployment • Lower economic growth • Worsening current account on the balance of payments Accept any other appropriate response	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 18 of 19 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 2 of 6 · find part a in this mark scheme extract

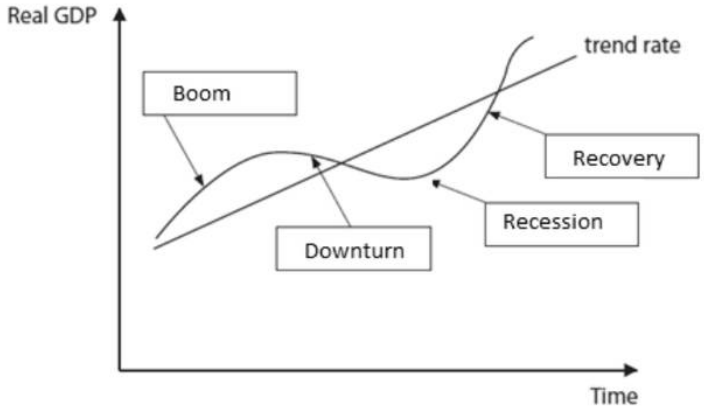
Question Number	What is meant by the term direct tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied/imposed on individuals/firms **(1)** based on the level of income/profits **(1)** Accept any other appropriate response	**(2)**

Question Number	Explain **one** disadvantage of privatising the provision of school meals in North Tyneside. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant disadvantage Award 1 mark for developing the disadvantage Award 1 mark for the response being in context • One disadvantage is that school meals could become more expensive **(1)** this is because private firms aim to make a profit. **(1)** This can make it harder for some families to afford school meals for their children at school **(1)** • One disadvantage is that workers might be paid less. **(1)** Private firms often try to save money in order to make a profit. **(1)** This can negatively impact the quality of service/the well-being of existing employees **(1)** Accept any other appropriate response	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 18 of 19 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 3 of 6 · find part a in this mark scheme extract

Question Number	Using the diagram below, label the remaining three stages of the economic cycle in the boxes on the diagram. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for Boom, labelled Award 1 mark for Downturn, labelled Award 1 mark for Recession/slump/depression, labelled  	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 18 of 19 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 4 of 6 · find part a in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits to the environment of providing subsidies for solar-powered stoves in Rwanda. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • With subsidies making solar-powered stoves affordable, more people might change the way they cook • Shifting from firewood or coal to solar-powered stoves decreases carbon emissions, contributing to cleaner air and combating climate change • Solar-powered stoves produce no harmful smoke, leading to better indoor air quality and reducing respiratory illnesses linked to smoke inhalation from firewood or coal • Promoting solar-powered stoves encourages the use of renewable energy and reduces reliance on fossil fuels • Subsidies can make the transition to solar-powered stoves more economically feasible for families, reducing long-term costs associated with buying fuel **AO4** • However, the subsidies cost money, which could be used for other important things like schools or hospitals • If the subsidies end, the price of solar-powered stoves might increase reducing the number of people wanting to use them • Sometimes the people who need the help the most might not get it, or the subsidies might not support the best or most efficient stoves • Subsidies can interfere with normal market operations, potentially stopping firms from improving their stoves or reducing prices on their own • Some people might prefer their traditional way of cooking and not want to switch to solar-powered stoves, making the subsidies less effective • It can be hard to manage and keep track of the subsidy programme, leading to potential waste	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 18 of 19 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 5 of 6 · find part a in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 18 of 19 · Question 2 part a · 1 mark

2025 JUN · Paper 02 (regional R) · extract 6 of 6 · find part a in this mark scheme extract

Question Number	Which **one** of the following is a feature of being a member of a trading bloc? **Answer**	Mark

2(a)	**AO1 1 marks** The only correct answer is: **C** Monetary A is not correct because this involves government revenue and government expenditure B is not correct because this involves increasing the productive capacity and output of an economy D is not correct because this involves the supply of and demand for currencies	**(1)**

Question Number	Which **one** of the following is an example of deregulation? **Answer**	Mark
2(b)	**AO1 1 mark** The only correct answer is: **B** Allowing more foreign firms into the domestic market A is not correct because it involves imposing a new regulation on how much government officials can be paid C is not correct because compulsory employee training adds a new layer of requirements for firms D is not correct because this increases the amount of regulation to protect consumers	**(1)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 19 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 2 of 6 · find part e in this mark scheme extract

Question Number	State **one** possible advantage of foreign direct investment (FDI) for an economy. **Answer**	Mark
2(c)	**AO1 1 mark** Award 1 mark for **one** possible impact • Creating jobs • Investing in infrastructure • Developing skills • Developing capital • Contributing to taxes • Greater choice • Rising living standards • Lower prices Accept any other appropriate response	**(1)**

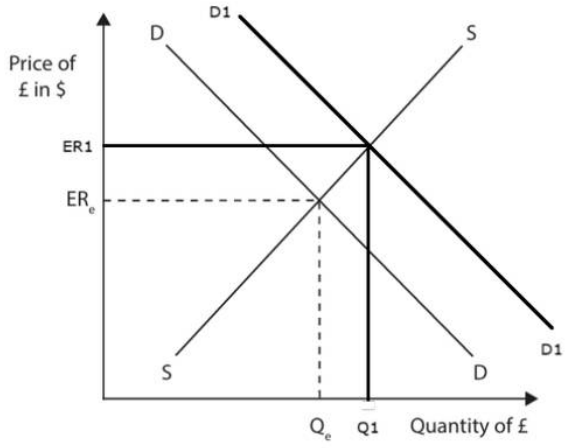
Question Number	What is meant by the term indirect tax? **Answer**	Mark
2(d)	**AO1 2 marks** Award up to 2 marks for a correct definition A tax levied **(1)** on spending **(1)** **OR** A tax added to the price of goods and services **(1)** which consumers pay when they buy something **(1)** Accept any other appropriate response	**(2)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 19 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 3 of 6 · find part e in this mark scheme extract

Question Number	Explain **one** way government provision of healthcare can help to reduce poverty. **Answer**	Mark
2(e)	**AO2 3 marks** Award 1 mark for identifying a relevant way Award 1 mark for developing the way Award 1 mark for the response being in context • One way is that healthcare helps people to stay healthy **(1)** so they can work more and earn an income **(1).** With more income, they can improve their living conditions and escape poverty **(1)** Accept any other appropriate response	**(3)**

Question Number	Using the diagram below, draw the likely effect of currency speculators on the equilibrium exchange rate of the UK pound (£) against the US dollar ($). Label the new curve, the new equilibrium exchange rate and the new equilibrium quantity. **Answer**	Mark
2(f)	**AO2 3 marks** Award 1 mark for a rightward shift of demand curve, labelled Award 1 mark for higher equilibrium exchange rate, labelled Award 1 mark for higher equilibrium quantity, labelled 	**(3)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 19 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 4 of 6 · find part e in this mark scheme extract

Question Number	With reference to the data above and your knowledge of economics, assess the possible benefits for the South Korean car industry from the removal of tariffs by the Philippines. **Indicative content**	Mark
2(g)	**AO2 (3 marks)/AO3 (3 marks)/AO4 (3 marks)** **AO2 and AO3** • The removal of a 5% import tariff on Korean cars makes them cheaper and more competitive against other foreign brands in the Philippines, potentially increasing market share • With tariffs gone, it is likely that more Korean cars will be exported to the Philippines, benefiting manufacturers through increased sales and revenue • Accessing the large and growing Philippine market, which has the 12th largest population and is a significant car importer, offers a substantial expansion opportunity for Korean car makers • Increased car exports to the Philippines can contribute to economic growth and job creation in South Korea's car industry **AO4** • However, with Japanese cars dominating 82.5% of the Philippine market, Korean cars might still struggle to significantly penetrate or compete, even without tariffs • The removal of tariffs may lead to increased competition from domestic car manufacturers in the Philippines, making it harder for Korean cars to gain market share • Filipino consumers might prefer other brands or have a strong brand loyalty to existing cars, making it difficult for Korean cars to penetrate the market • Philippine car manufacturers might retaliate against the influx of cheaper Korean cars • Exchange rate fluctuations could affect the profitability and pricing of Korean cars in the Philippines	**(9)**

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 19 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 5 of 6 · find part e in this mark scheme extract

Level	Mark	Descriptor
	0	No rewardable material.
Level 1	1–3	• Demonstrates basic knowledge and understanding by developing relevant points. Limited application of economic terms, concepts, theories and calculations (AO2). • Information presented will lack selectivity and organisation. Interpretation of economic information will be limited, with a lack of analysis of issues (AO3). • Only offers one viewpoint, meaning there is an unbalanced and incomplete evaluation, showing limited understanding and awareness (AO4).
Level 2	4–6	• Demonstrates partial knowledge and understanding by developing relevant points. Partial application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate some selectivity and organisation. Interpretation of economic information will be good, with some analysis of issues (AO3). • Offers more than one viewpoint but the argument may lack balance, leading to an evaluation that may not demonstrate full understanding and awareness (AO4).
Level 3	7–9	• Demonstrates clear knowledge and understanding by developing relevant points. Appropriate application of economic terms, concepts, theories and calculations (AO2). • Information presented will demonstrate excellent selectivity and organisation. Interpretation of economic information will be excellent, with a thorough analysis of issues (AO3). • Offers more than one viewpoint. The argument is well balanced and coherent, leading to an evaluation that demonstrates full understanding and awareness (AO4).

Type MS · Reducing poverty: progressive tax, benefits, education, healthcare

Answer 19 of 19 · Question 2 part e · 3 marks

2025 JUN · Paper 02 · extract 6 of 6 · find part e in this mark scheme extract

Question Number	Which **one** of the following is an advantage of pollution permits? **Answer**	Mark